

Axon Enterprise, Inc.

Ten Straight Quarters Above 30%, and Most of It Already in the Price; Neutral, Dec-27 PT \$670

AXON, NASDAQ Global Select Market

NEUTRAL

Price (20 Aug 2026): **\$614.26**

Price Target (Dec-27): **\$670.00**

INVESTMENT THESIS

We initiate on Axon Enterprise at Neutral with a December 2027 price target of \$670, implying 9.1% upside from the 20 August close of \$614.26. This is not a call against the franchise. Q2 2026 revenue of \$904mm grew 35%, the tenth consecutive quarter above 30%; ARR reached \$1.60bn (+39%) at 126% net revenue retention; and contracted bookings of \$15.1bn (+41%) are over four times annual revenue. Guidance has been raised twice this year, to 32-34% growth on a ~25.5% adjusted EBITDA margin.

Our issue is price, not performance. At \$614 the shares trade on roughly 13.8x EV/FY26E sales and about 78-80x FY26E non-GAAP EPS, against 7.1x and 26x for Motorola Solutions and 12.4x and 51x for Samsara. Our \$670 target sits about 6% below the ~\$710 consensus average because we fade the multiple as growth normalises toward the company's own 2028 framework. A 9% expected return on a 1.40-beta name is approximately the cost of equity: market-like, not excess.

- Mix shift is the story: Software & Services of \$398mm (+36%), AI Era Plan software revenue up roughly 700% year-on-year, Draft One the adoption wedge.
- Three vectors compounding off a small base: international (bookings ~3x, still only ~17% of revenue), federal (the \$1.5bn DHS counter-UAS IDIQ) and enterprise security.
- Earnings quality is the swing factor: \$634mm of FY25 stock compensation drove GAAP operating income of -\$29.7mm and GAAP EPS of \$1.51 against \$6.85 non-GAAP.

COMPANY OVERVIEW

Axon builds an integrated public-safety operating system spanning sensing, understanding and acting: conducted energy devices, body cameras, drones and counter-drone systems, and a cloud and AI layer that ingests the resulting data. Management frames the ambition as owning every link in the chain from the 911 call to the courtroom, and over 80% of customers deploy integrated hardware plus software.

Software & Services generated \$1,200mm of FY2025 revenue and Connected Devices \$1,577mm, the latter comprising TASER, Personal Sensors and Platform Solutions. The customer base remains U.S. state and local law enforcement, with the U.S. at roughly 83% of FY2025 revenue; widening it via DEDrone and the new Axon 911 business is the strategic through-line.

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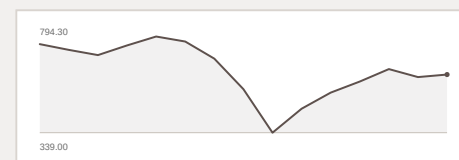
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PRICE PERFORMANCE



12-month price performance (\$); illustrative reconstruction of the disclosed range

COMPANY DATA

Shares O/S (mm)	81.2
Market Cap (\$bn)	49.9
Enterprise Value (\$bn)	51.1
52-Week Range	\$339.01 - \$794.29
52-Week Price Change	-19.0%
Avg. Daily Volume	~839,300
Net Debt (\$mm)	~1,100 - 1,160
Beta (5Y)	1.40
Dividend Yield	None
Fiscal Year End	December

KEY METRICS / ESTIMATES

(\$mm, except EPS)	FY24A	FY25A	FY26E	FY27E
Revenue	2,083	2,780	3,710	4,800
% growth	33%	33%	33%	29%
Adj. EBITDA	521	710	944	1,284
Non-GAAP EPS	\$5.94	\$6.85	\$7.71	\$10.68
GAAP EPS	\$4.80	\$1.51	\$3.52	\$4.29
EV / Revenue	--	--	13.8x	10.6x
P/E (non-GAAP)	--	--	79.7x	57.5x

Source: company reports; consensus per StockAnalysis (FY26E revenue \$3.71bn, EPS \$7.71) and WallStreetZen (FY27E revenue ~\$4.8bn, EPS \$10.68). FY27E Adj. EBITDA and FY26E/FY27E GAAP EPS per MarketScreener consensus (FY26E \$3.52, FY27E \$4.29; FY27E EBITDA \$1,284mm). FY26E adj. EBITDA applies the guided ~25.5% margin. Trailing (FY24A/FY25A) EV/Revenue and P/E are not shown, consistent with this note's forward-multiple convention. Multiples at \$614.26 and EV of \$51.1bn.

Q2 2026 RESULTS AND GUIDANCE

Q2 2026 revenue of \$904.4mm rose 35% year-on-year, ahead of Q1's 34% and the tenth straight quarter above 30% growth. Software & Services grew 36% to \$398mm and Connected Devices 35% to \$507mm, within which Platform Solutions more than doubled to \$150mm on Dedrone strength. Adjusted EBITDA of \$242mm carried a 26.8% margin, up 180bp sequentially, and non-GAAP diluted EPS was \$1.88 against GAAP EPS of \$0.36. The subscription metrics were the highlight: ARR of \$1.60bn (+39%) is compounding faster than reported revenue, net revenue retention of 126% is up roughly 7pp year-on-year, and future contracted bookings of \$15.1bn grew 41%.

Management raised FY2026 revenue growth guidance for the second time this year, to 32-34% (roughly \$3.67-3.73bn), while leaving the adjusted EBITDA margin outlook at approximately 25.5%, stock compensation at \$590-620mm and free cash flow at about \$450mm; capex guidance was trimmed to \$160-190mm. The tone on near-term margins was notably more cautious than the revenue raise: Q3 adjusted gross and EBITDA margins are expected to be pressured by rising memory-component costs and the non-repeat of Q2 tariff refunds, and management flagged that Q2's 130bp sequential adjusted gross margin gain was partly one-off. Shares fell after hours on the print despite the beat and raise, which we read as a valuation and margin-mix reaction rather than a demand signal.

Cash conversion remains the least attractive line in the model. Free cash flow was -\$1mm in the quarter (against -\$92mm a year earlier) and the FY2026 guide of roughly \$450mm compares with approximately \$944mm of implied adjusted EBITDA, reflecting working capital tied up in hardware and inventory alongside continued capex. For a company growing above 30%, that gap is explainable; it is not, in our view, ignorable.

FINANCIAL SUMMARY

Axon Enterprise, Inc. -- Summary Financials

\$ in millions, except per-share data	FY24A	FY25A	FY26E	FY27E
Revenue	2,083	2,780	3,710	4,800
% growth	33%	33%	~33%	~29%
Gross profit (GAAP)	1,242	1,663	--	--
GAAP gross margin	59.6%	59.7%	--	--
Adjusted gross margin	63.2%	62.6%	--	--
GAAP operating income	59.2	(29.7)	186	496
Adjusted EBITDA	521.4	710.2	~944	1,284
Adj. EBITDA margin	25.0%	25.5%	~25.5%	26.8%
GAAP net income	377.0	124.7	292	385
GAAP diluted EPS	\$4.80	\$1.51	\$3.52	\$4.29
Non-GAAP diluted EPS	\$5.94	\$6.85	\$7.71	\$10.68
Stock-based compensation	382.6	634.2	590-620	--
Free cash flow	330	75	~450	774
ARR (period end)	1,001	1,347	--	--
ARR growth	37%	35%	--	--
Future contracted bookings	10,100	14,400	--	--
Net revenue retention	123%	125%	--	--
EV / Revenue	--	--	13.8x	10.6x
P/E (non-GAAP)	--	--	79.7x	57.5x

Source: company reports and guidance; consensus estimates per StockAnalysis (17 analysts), WallStreetZen and MarketScreener. FY24 figures use the prior segment presentation. FY26E adj. EBITDA applies guided ~25.5% margin to consensus revenue; FY27E adj. EBITDA, GAAP operating income, GAAP net income, GAAP diluted EPS and free cash flow per MarketScreener consensus. FY24A/FY25A free cash flow per StockAnalysis (actuals). Gross profit/margin, ARR, bookings and NRR are not forecast by the consensus sources reviewed and are shown as "--" for FY26E/FY27E; trailing (FY24A/FY25A) EV/Revenue and P/E are likewise not conventionally quoted and are shown as "--". Q2 2026 metrics: ARR \$1,600mm (+39%), NRR 126%, bookings \$15.1bn (+41%). Multiples calculated at \$614.26 and EV of \$51.06bn. Illustrative; not investment advice.

GROWTH DRIVERS AND COMPETITION

The AI Era Plan is the fastest-ramping product in company history, with software revenue from it up roughly 700% year-on-year in Q2, and Draft One, the generative-AI report drafting tool, is the wedge that pulls agencies onto the tier. Real-time translation has made that wedge travel: three of the top five AI Era Plan deals in the quarter were international, international bookings roughly tripled year-on-year, and TASER 10 deployments in the Middle East and Europe matched the largest U.S. programmes in scale. With the U.S. still around 83% of revenue, the international runway is the single largest identified source of upside to consensus.

Counter-drone is the second engine. Dedrone-led revenue crossed \$100mm in a single quarter for the first time, Axon was selected as one of twelve vendors on the U.S. Department of Homeland Security's \$1.5bn counter-UAS IDIQ, and systems were deployed across eleven U.S. World Cup host cities, with management arguing the trailers are being repurposed for other use cases rather than retired after the event. Enterprise is the third: corporate bookings roughly tripled and Outpost/Lightpost fixed-sensor infrastructure reached about \$100mm of trailing-twelve-month bookings, extending the addressable market beyond government budgets entirely.

Competition is intensifying in exactly the place where growth is fastest. Motorola Solutions agreed in June 2026 to acquire counter-drone specialist D-Fend Solutions for roughly \$1.5bn, putting a \$78bn-market-cap incumbent with entrenched agency relationships directly into counter-UAS at the same moment Axon attacks Motorola's 911 turf through Carbyne and Prepared. We do not assume Axon loses that two-front contest, but we would expect it to cost pricing and sales investment in the highest-multiple part of the story. Separately, the DeFlock anti-surveillance movement and scrutiny of AI-generated police reports keep a genuine regulatory and reputational overhang on the software ramp.

VALUATION AND PRICE TARGET

Axon sits between the defence and communications incumbent (Motorola at roughly 7x EV/sales on single-digit growth) and the AI software hyper-multiple cohort (Palantir at roughly 66x). Its ~15.9x trailing EV/sales is about 2.2x Motorola's on roughly four times the growth rate and about 1.3x Samsara's on roughly 1.6x the growth rate, which is internally consistent on a growth-adjusted view rather than obviously stretched. What justifies the premium is 126% net revenue retention, \$15.1bn of contracted bookings, a near-monopoly in U.S. conducted energy devices and real optionality in counter-drone, 911 and international. What caps it is a 25.5% adjusted EBITDA margin that is below Motorola's despite far higher growth, stock compensation at 16-17% of revenue, a hardware-heavy cost base exposed to memory pricing and tariffs, and free cash flow that was breakeven in the most recent quarter.

We derive our \$670 December 2027 target as an equal-weighted blend of three mechanical approaches applied to FY2027E consensus, using approximately 82.5mm diluted shares and net debt of \$1.16bn. (A) 12.0x EV/FY27E sales of \$4.80bn gives \$57.6bn of enterprise value and \$684 per share, a multiple between Samsara's current 12.4x on ~21% growth and a clear discount to Palantir. (B) 62.5x FY27E non-GAAP EPS of \$10.68 gives \$668, roughly a 1.9x PEG and below today's ~78x FY26E multiple, reflecting normalising growth. (C) 10.0x EV/sales on the company's own approximately \$6.0bn 2028 revenue target implies \$713 per share, discounted one year at a 9% cost of equity to \$654. The blend is \$669, rounded to \$670.

That output is roughly 6% below the ~\$710 cross-source consensus average (21 analysts at StockAnalysis average \$693; MarketBeat \$731; no Sell ratings anywhere), principally because approaches B and C fade the multiple as growth normalises and because we take no credit for upside to the \$6bn / 28% margin 2028 framework. The resulting 9.1% expected return approximates our assumed 9% cost of equity for a 1.40-beta name, which is the definition of Neutral. The thresholds matter more than the point estimate: a target above roughly \$737 (+20%) would warrant Overweight, reachable on 13x EV/FY27E sales and 70x FY27E EPS if bookings and ARR growth hold above 35% and the 2028 targets are raised. A target below roughly \$553 (-10%) would warrant Underweight, reachable on 9x and 45x, a full de-rating toward Samsara-like multiples on decelerating growth.

UPSIDE RISKS TO OUR RATING AND PRICE TARGET

- Guidance has been raised twice in 2026 (27-30% to 30-32% to 32-34%) and revenue estimates have been beaten in nine consecutive quarters; continued beats compress the forward multiple mechanically without the stock falling.
- Counter-drone is an early-innings, government-funded category: Dedrone crossed \$100mm in a quarter, Platform Solutions grew 123%, and the \$1.5bn DHS IDIQ provides dedicated federal funding largely incremental to the legacy business.
- International is only ~17% of revenue with bookings tripling; a mix shift toward 30% over several years at current unit economics supports a materially higher revenue base than consensus.
- Software mix drives structural margin expansion: ARR growing 39% against 35% revenue growth and NRR of 126% underpin the 2028 target of ~28% adjusted EBITDA margin on ~\$6bn, implying roughly \$1.7bn of EBITDA, about 2.4x the FY2025 level.
- The 911 platform (Prepared plus Carbyne) attacks Motorola's core and creates a new upsell surface into existing agency relationships, while enterprise bookings tripled and Outpost/Lightpost reached ~\$100mm TTM bookings.
- The de-rating is itself a lever: the stock is roughly 19% lower over twelve months and ~23% below its 52-week high while fundamentals improved, so multiple recovery toward consensus requires no fundamental surprise.

DOWNSIDE RISKS TO OUR RATING AND PRICE TARGET

- Valuation leaves no room for error. At ~13.8x EV/FY26E sales and ~78x FY26E non-GAAP EPS, a single quarter of sub-30% growth or a guidance trim could compress the multiple by 30% or more, as the April 2026 drawdown demonstrated.
- Stock-based compensation and GAAP unprofitability: \$634mm in FY2025 and \$590-620mm guided for FY2026 keep GAAP operating income near or below zero (FY25: -\$29.7mm), and lumpy XSP milestone accounting makes the expense hard to model.
- Weak cash conversion: free cash flow of -\$1mm in Q2 2026 and roughly \$450mm guided for FY2026 against ~\$944mm of adjusted EBITDA leaves the name vulnerable in a risk-off tape.
- Hardware input costs: management flagged rising memory-component costs and the non-recurrence of tariff refunds as Q3 headwinds; adjusted gross margin was still down ~40bp year-on-year at 62.9% in Q2 and down 200bp in Q1.
- Motorola's ~\$1.5bn D-Fend acquisition puts a well-capitalised incumbent directly into counter-UAS while Axon attacks its 911 franchise, risking pricing pressure in the highest-growth category.
- Government budget concentration: municipal, state and federal law-enforcement budgets are politically determined, and long procurement cycles delay revenue recognition when they tighten.
- Regulatory, privacy and litigation risk: the DeFlock movement, prosecutorial scrutiny of AI-generated reports via Draft One, and perennial CED-related injury litigation could restrict deployments or slow adoption.
- Integration risk across three acquisitions in under two years (Dedrone, Prepared, Carbyne), with \$625mm for Carbyne creating goodwill impairment risk if the 911 strategy underdelivers; separately, \$15.1bn of bookings recognises over many years and is not revenue.
- Leverage is new: roughly \$1.8bn of debt against \$685mm of cash and short-term investments reduces flexibility if growth investment continues at current intensity.

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Overweight: Total return expected to exceed the average total return of the analyst's industry coverage universe over the next 6-12 months. Neutral: Total return expected to be in line with the average total return of the analyst's industry coverage universe. Underweight: Total return expected to be below the average total return of the analyst's industry coverage universe. In this note, Neutral reflects an expected 12-month total return of approximately 9%, which is approximately equal to the assumed cost of equity for a 1.40-beta security. These are generic sell-side rating conventions, not a registered firm's published rating scale.

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